

A final set of risk defenses are the broader financial policies of an endowed institution. In addition to investment policies that limit risk, institutions can protect against budgetary cuts through thoughtful spending and reserve policies. For example, institutions can leave room for endowment values to drop without leading to spending cuts, by not aggressively increasing endowment payouts to the maximum level each year. Similarly, institutions can build alternate financial reserves to be used to support the budget through difficult economic times.

Investors of all types can learn from Graham and Dodd. Unfortunately, *Security Analysis* suffers from its own fame. The works of Graham and Dodd are so well-known and so well-referenced in investment circles that many people may believe they are already eminently familiar with the lessons contained within before reading any of their books. I certainly believed this when I entered the industry and looked around for books to read. Picking up *Security Analysis*, however, opened a world far beyond the simplistic summaries commonly cited in the financial press. Perhaps what was most surprising was how much of this investment tome remains relevant today, even to an adjacent field such as endowment management. I hope that by reading through these pages, you are enjoying a similar journey to mine.